US’s July tariff overhaul hits Brazil hardest

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Recently imposed forced labor and Brazil tariffs only marginally increase the overall US tariff rate, with Brazil losing the most and the EU, Taiwan, and the UK among the winners.
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For the 16 economies affected, forthcoming overcapacity tariffs will likely restore headline country tariff rates to their levels prior to the Supreme Court ruling on International Emergency Economic Powers Act (IEEPA) tariffs.
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The overcapacity tariffs will likely raise the overall US average effective tariff rate (AETR) from 11.2% to around 12.8%, still well below the 15.5% level prior to the Supreme Court IEEPA ruling.

The new baseline country tariffs are 10%-12.5% forced labor duties. The forced labor duties, applied under Section 301 of the Trade Act of 1974 and imposed on 24 July, are the latest step in rebuilding President Donald Trump’s tariff wall after the Supreme Court struck down the IEEPA tariffs in February. They replace the now-expired global 10% tariffs applied under Section 122 of the same trade act as the baseline country tariff for the US’s 60 largest trading partners.

For the EU, South Korea, Japan, Taiwan, and Switzerland, tariff rates of either 10% or 12.5% are applied net of existing Most Favored Nation (MFN) tariffs. This approach ensures that the total tariff rate, including pre-Trump 2.0 tariffs, does not exceed statutory levels.

The administration’s “one-size-fits-all” approach to forced labor tariffs presents new legal risks. Section 301 is intended to address specific trade actions from individual countries (see Separating signal from noise in Trump's latest tariff rollout , 24 July 2026, and Trump's efforts to rebuild tariff wall will face legal hurdles , 9 March 2026).

The new forced labor and Brazil duties marginally increase the overall US tariff rate from 10.9% to 11.2%. The AETR remains well below the 15.5% rate before the Supreme Court struck down IEEPA tariffs. The new forced labor duties represent a third of the impact of Trump 2.0 tariffs on the overall AETR. National security tariffs applied under Section 232 of the Trade Expansion Act of 1962, which are likely more legally robust, account for almost two-thirds of the Trump 2.0 tariff wall.

Brazil loses and the EU benefits from July tariff overhaul. Brazil is the worst hit by the July tariff overall, moving from a US AETR of 10.9% to 17.6%. Brazil faces a 25% Brazil-specific 301 tariff and 12.5% forced labor duties on a subset of Brazilian goods. China continues to face the highest US AETR at 27.2%, with overcapacity tariffs still to come. However, overcapacity tariffs will likely be set at no more than 7.5% to avoid Chinese retaliation (see Targeted bilateral tariff reductions likely centerpiece of September summit , 27 July 2026). The EU, Taiwan, and the UK are among the biggest beneficiaries of the July overhaul. They have seen small reductions in their AETRs (see chart below), as their 10% forced labor tariff is now net of existing product MFN rates, rather than a 10% rate applied on top of existing tariffs under Section 122.

Overcapacity tariffs will likely bring the US AETR to 12.8%. A separate Section 301 investigation on excess capacity is still ongoing, targeting 16 trading partners whose overproduction is deemed to harm US manufacturing. Proposed tariff rates and comment and hearing periods have not yet been announced. The economies under investigation are China, the EU, Singapore, Switzerland, Norway, Indonesia, Malaysia, Cambodia, Thailand, Korea, Vietnam, Taiwan, Bangladesh, Mexico, Japan, and India.

The overcapacity investigation will likely be used to bring the 16 covered economies’ headline tariff rates to close to the rate agreed to under IEEPA, acting as a supplement to forced labor tariffs. We expect overcapacity tariffs will likely raise the overall US AETR from the current 11.2% to around 12.8%, still well-below the 15.5% level under IEEPA (see forthcoming note). However, this is unlikely to fully restore the US AETR to IEEPA levels. The scope of economies covered by the overcapacity investigation is more limited than under IEEPA. There are also more exemptions under forced labor tariffs compared to the carveouts under IEEPA.

Eurasia Group’s latest estimates now incorporate an enhanced and more granular methodology. Improvements include more granular calculations for US-Mexico-Canada Agreement compliance, metals products, and pre-Trump 2.0 tariffs, as part of our work with Global Trade Alert. Our overall AETR is unchanged under the updated methodology, though some country-specific rates vary when compared to Eurasia Group estimates.

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